When a Government Can Switch Off a Frontier Model, the Hedge Is Local AI

Kabui, Charles

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On June 12, 2026, a US government export-control directive forced Anthropic to switch off Fable 5 and Mythos 5. The directive covered foreign nationals, and Anthropic had no reliable way to check nationality in real time, so it suspended both models for everyone, inside and outside the United States. Not even the Project Glasswing partners, about 150 organisations that include Nvidia, Microsoft, Google and Apple, kept access to Mythos 5 while the order

stood. The controls were lifted on June 30, and Anthropic restored Fable 5 on July 1, 19 days later. That same month, a different kind of AI kept shipping: models you download and keep. Z.ai released GLM-5.2, a 753-billion-parameter coding model under the open MIT license. Moonshot put out Kimi K2.7 Code, with 1 trillion parameters. Google shipped DiffusionGemma. Tiny models like Moebius, at 0.2 billion parameters, matched systems more than 50 times their size.

A model sitting on your own drive cannot be revoked. Once the weights are downloaded, no vendor and no government can flip a switch and take them back. The small ones make that practical: a 0.2-billion image editor or a 3-billion reasoner runs on a laptop or a phone, with no API bill and no account to lock. NVIDIA's own researchers argue that small language models are the future of agentic AI, since most agent steps are narrow enough for a right-sized local model to handle them cheaper and faster than a giant one behind an API.

This reframes open versus closed as a question of resilience, not just price. When access to the best models can end with a single order, owning the weights and running them yourself stops being a hobby and becomes a continuity plan. The hedge against a switch is a copy you already hold.

Read More: the week a government switched two frontier models off, and how a 3-billion model, VibeThinker-3B, matches the giants.

Sources:

- Statement on the US government directive to suspend access to Fable 5 and Mythos 5 (Anthropic, June 12, 2026)
- Redeploying Fable 5 (Anthropic, June 30, 2026)
- Anthropic confident of re-enabling Mythos, Fable 5 access (Korea JoongAng Daily)
- GLM-5.2: Built for Long-Horizon Tasks (Z.ai)
- Kimi K2.7 Code weights (Hugging Face)
- Introducing DiffusionGemma (Google)
- Small Language Models are the Future of Agentic AI (NVIDIA, arXiv)

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